

Chapter 21

Getting Employees to Work in the Firm's Best Interests

Chapter 21 – Learning Objectives

- 21.1 Describe the principal–agent relationships in incentive conflict.
- 21.2 Explain how the incentive conflict between principals and agents along with information asymmetry leads to moral hazard and adverse selection.
- 21.3 Describe how to reduce the costs of controlling incentive conflict and the three alternatives to controlling principal-agent conflicts
- 21.4 Identify the necessary factors for making decisions in a decentralized and centralized organization structure.
- 21.5 Identify how agents may game incentives and how to foresee how incentives may be gamed.
- 21.6 Analyze principal-agent conflicts by focusing on key questions and describe three approaches to controlling incentive conflicts.

Chapter 21 – Main Points

- **Principals** want **agents** to work for their (the principals') best interests, but agents typically have different goals than do principals. This is called **incentive conflict**.
- Incentive conflict leads to moral hazard and adverse selection problems when agents have better information than principals.
- Three approaches to controlling incentive conflict are
 - Fixed payment and monitoring (shirking, adverse selection, and monitoring costs),
 - incentive pay and no monitoring (must compensate agents for bearing risk), or
 - sharing contracts and some monitoring (some shirking and some risk compensation).
- In a well-run organization, decision makers have (1) the information necessary to make good decisions and (2) the incentive to do so.
- If you decentralize decision-making authority, you should strengthen incentive compensation schemes.
- If you centralize decision-making authority, you should make sure to transfer needed information to the decision makers.
- To analyze principal–agent conflicts, focus on three questions:
 - Who is making the (bad) decisions?
 - Does the employee have enough information to make good decisions?
 - Does the employee have the incentive to make good decisions?
- Alternatives for controlling principal–agent conflicts center on one of the following:
 - Reassigning decision rights
 - Transferring information
 - Changing incentives

Warm-Up

- Have you ever worked somewhere where no one seemed to know who oversaw what? What happened; and how did it affect your work?

Wells Fargo Sales Scandal

- Wells Fargo set aggressive sales targets for cross-selling financial products.
- Employees were pressured to meet quotas for new accounts, credit cards, and other services.
- Incentives tied to the number of accounts opened, not customer satisfaction or need.
- Result: Over 2 million fake accounts created without customer consent.
- Internal whistleblowers were ignored; executives claimed ignorance.
- Massive fallout: \$3B in fines, CEO resignation, and major reputational damage.

Key Takeaways:

- Poor monitoring and rigid centralization worsen moral hazard risks.
- Incentives drive behavior
- Incentive schemes must balance volume with ethics and quality.

The Principal Agent Problem

- A principal delegates a task to an agent (e.g., employer and employee).
- The agent may have different goals and better information than the principal.
- This mismatch creates incentive conflict.
- Two main challenges:
 - **Adverse Selection** – hiring the wrong agent.
 - **Moral Hazard** – agent acts in own interest after being hired.
- Leads to agency costs: lost profit, monitoring costs, reduced performance.

Key Takeaways:

- Incentive conflicts arise when goals diverge, and information is uneven
- Adverse selection happens before hiring, moral hazard occurs after
- Controlling these requires better monitoring, incentive design or decision rights

Strategies for Solving Incentive Conflicts

- Reduce adverse selection with better screening:
 - Background checks, references, trial periods
 - Reduces the chance of bringing on agents with misaligned goals
- Address moral hazard with:
 - Monitoring (e.g., audits, performance reviews)
 - Helps uncover hidden behavior
 - Incentive alignment (e.g., profit-sharing, ethical KPIs)
 - Steers agents toward the principal's objectives
- Use performance-based pay: link compensation to measurable outcomes
- Choose the right organizational structure
 - Centralize when info can be aggregated
 - Decentralize when front-line knowledge is critical

Key Takeaway

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- Fix the conf

Discussion Activity 1

- Why do smart employees sometimes make decisions that hurt the company?
- Consider if they were acting in their own best interest given the information and incentives they had.

Centralization v. Decentralization in Decision Making

- **Centralization:** Decision-making authority held by top managers.
 - Pros: Easier to align with company-wide goals.
 - Cons: Less local information; slower response.
- **Decentralization:** Authority given to employees closer to the action.
 - Pros: Utilizes on-the-ground knowledge.
 - Cons: Harder to monitor; requires strong incentives.
- **Key trade-off:** Who has the best info vs. who has the right incentives?

Key Takeaways:

- Use centralization when decision-makers can access reliable, comprehensive data.
- Use decentralization when local expertise is critical — but pair it with incentive systems.
- Always ask: *Who has the info, and who has the motivation?*

Discussion Activity 2

- When is it better to centralize decisions at headquarters vs. letting local teams decide?
- Who has the best info? Who has the motivation to act in the firm's interest?

The Trade-Offs in Incentive Compensation

- Incentive pay aligns effort with results (e.g., commission, bonuses).
- But it introduces risk for employees:
 - Market downturns or team failures can hurt pay.
- Agents demand higher compensation to bear that risk.
- Flat salary = low risk, but weak motivation.
- Ideal system balances motivation vs. stability.
- Good compensation design must:
 - Reward desired behaviors
 - Adjust for effort and risk
 - Avoid encouraging gaming or short-termism

Sales v. Marketing Conflict

- Sales team paid on revenue, so they push for more deals, lower prices.
- Marketing team rewarded based on profitability or margins.
- Conflict arises over pricing strategy:
- Sales wants volume.
- Marketing wants margin.
- Different incentives = different definitions of success.
- Solutions?
 - Switching to profit-based commissions (e.g., % of gross margin)
 - Requiring approval for large discounts
 - Implementing cross-departmental goals to encourage cooperation

Franchising – Turning Agents into Owners

- In franchising, the agent becomes the principal.
 - Franchisee owns the store and keeps the profit.
- Strong incentives: effort directly tied to reward.
 - Reduced need for monitoring
- Solves moral hazard and adverse selection:
 - Hard-working, capable managers self-select.
 - Franchisees don't shirk — they bear the outcomes.
- Trade-off: Franchisees face higher financial risk.
 - Compensate risk through adjusted fees or support models

Framework for Diagnosing Incentive Conflict

Start with the bad decision or poor outcome.

- Ask three key questions:
 - **Who made the decision?**
 - **Did they have enough information?**
 - **Were their incentives aligned?**
- Then explore solutions:
 - Reassign decision rights
 - Transfer information
 - Redesign incentives

Wells Fargo Again

- **Who made the bad decision?**
 - Frontline employees creating fake accounts.
- **Did they have the right information?**
 - Yes — they knew how to reach customers and open accounts.
- **Did they have the right incentives?**
 - No — they were paid for volume, not quality or ethics.

Key Takeaways:

- Use the 3-question framework to locate incentive breakdowns.
- Solutions target decision rights, information, or incentives.
- Fix the system, not just the symptoms.

Activity – Fix the System, Not the Symptoms

Scenario:

- You've been brought in to consult for a large retail chain after a series of poor customer service incidents. Employees were skipping safety steps to save time. Bonuses were tied to daily sales, not customer satisfaction or safety.

Instructions:

1. Use the 3-question diagnostic framework:
 - Who is making the decisions?
 - Do they have the right information?
 - Are incentives aligned with desired outcomes?
2. Identify whether this is a case of moral hazard or adverse selection, or both.
3. Recommend a revised incentive system that improves alignment without micromanaging.

Activity – Fix the System, Not the Symptoms

1. 3-question framework

- Who makes decisions: Frontline retail employees
- Information: They know the steps and risks
- Incentives misaligned: Bonuses encourage cutting corners

2. Diagnosis

- Moral hazard – agents act against the firm's interest once hired
- Adverse selection may also play a role if speed is greater than quality is emphasized in hiring

3. Solutions

- Link bonuses to a balanced scorecard (sales + quality + safety metrics)
- Add peer evaluations or customer feedback into incentives
- Rotate safety training + create team-based rewards to reduce gaming

Discussion Activity 3

- Could Wells Fargo have predicted that tying pay to account volume would backfire?
- Consider how incentives shape behavior. Were there warning signs? How could they have balanced volume with ethics?

Case Study: Uber's Driver Incentive Conflicts

Background

- Uber uses independent contractors (drivers) rather than employees.
- Drivers are paid per ride (with bonuses), but Uber wants consistent quality and availability.
- Misaligned incentives emerge:
 - Drivers cancel low-fare trips (less profit per time).
 - Drivers reject rides from low-tip or low-rated passengers.
 - Surge pricing leads drivers to "game the system" by logging off to force surges.
- Uber (principal) wants reliable and affordable service
- The driver (agent) wants high pay per hour and autonomy
- Conflict: driver may act against Uber's customer goals

Case Study: Uber's Driver Incentive Conflicts

Incentive Misfires

- Rating pressure causes stress or dishonest interactions.
- Quests and bonuses encourage strategic logging on/off.
- Lack of benefits → high turnover, weakening service consistency.

Uber's Responses

- Real-time trip acceptance data → monitoring
- Bonuses based on reliability and high ratings → incentive alignment
- Dynamic pricing algorithms adjusted to reduce gaming

Activity – Rank the Remedies

Scenario:

- You're consulting for a logistics company where warehouse supervisors (agents) are not meeting firm-wide efficiency goals. You've proposed three different solutions, and now the executive team wants your help ranking them.
- Below are three possible responses to fix the incentive problem. Rank them from 1 (most effective) to 3 (least effective) based on the following criteria:
 - How well they align incentives
 - How costly or complex they are to implement
 - Risk of gaming or unintended consequences
- Options to Rank:
 - A. Offer performance-based bonuses based only on division-specific output.
 - Easy to implement but may reinforce existing misalignment with firm goals.
 - B. Create team-based incentives tied to total supply chain efficiency.
 - Aligns with firm objectives but may be harder to attribute performance fairly.
 - C. Reassign warehouse decision rights to central HQ operations.
 - Fixes incentive misalignment through control but may reduce local adaptability or speed.

Activity – Rank the Remedies

- Possible solution:

Rank	Option	Rationale
1	B	Best aligns incentives across divisions; encourages cooperation
2	C	Solves the problem structurally but may stifle local initiative
3	A	Easy to implement but fails to solve the core misalignment

Key Takeaways

- Incentive conflict is common in every organization.
- Problems stem from misaligned goals, hidden information, and poorly designed incentives.
- Tools to fix these issues:
 - Better hiring to reduce adverse selection
 - Monitoring and performance metrics to reduce moral hazard
 - Incentive pay to align agent effort with firm success
 - Right level of centralization based on who holds the best information
- Use the **3-question diagnostic framework** to evaluate any organizational failure.
- As the principal, it's your job to ensure:
 - The right people are making the right decisions,
 - They have the right information,
 - And they're rewarded for the right outcomes.

Knowledge Check

1. What is a principal-agent relationship, and why does it often create conflict?
2. What's the difference between moral hazard and adverse selection?
3. What are the three main approaches to resolving incentive conflicts?
4. What's the trade-off between centralizing and decentralizing decision rights?
5. What does the 3-question diagnostic framework help you evaluate?

Knowledge Check Answers

1. A principal delegates tasks to an agent, but their goals may not align; the agent may also have better information.
2. Adverse selection = hidden info before hiring; moral hazard = hidden actions after hiring.
3. Fixed pay + monitoring, incentive pay + risk-bearing, shared contracts + some monitoring.
4. Centralizing helps align goals but may miss local info; decentralizing uses local info but needs strong incentives.
5. Who made the bad decision, did they have the right info, and were their incentives aligned?

Consultant's Challenge: Repairing Incentive Systems

Scenario:

- You've been hired by the executive team at a national chain of service centers. They've noticed rising customer complaints and suspect it's related to a recent change in employee compensation with more bonuses, and less oversight.

Your Task:

1. Use the 3-question diagnostic framework to identify failure points.
2. Recommend which lever(s) to adjust:
 - Decision rights
 - Information flows
 - Incentive design
3. Design a plan to test and monitor your new system's effectiveness.